nearly ₹9,967 crore; surcharges and other measures offset only 60% of the increase.

"Our pricing actions and disciplined capacity deployment, together with a 5% reduction in industry seats, supported stronger revenue performance. However, due to the elevated cost environment, we reported a net loss of ₹19 billion. Our liquidity remains strong, with free cash of around ₹399 billion, positioning us to navigate near-term volatility while retaining the flexibility to invest in our long-term growth priorities," he said.

Walsh attributed rising fuel costs to crude prices and a sharply higher crack spread—the premium jet fuel commands over crude. "I've been in this industry 47 years. I've never seen anything like this. The crack spread, which has historically averaged around 21-22%, was expected to average about 65% this year," he said.

With 50–60% of IndiGo's non-fuel costs dollar-denominated, a weakening rupee adds cost pressures.

IndiGo aims to boost ancillary revenue through greater customer choice, easier digital access to add-ons and pricing adjustments. Quarterly cargo revenue grew 37% year-on-year.

Walsh also highlighted revenue opportunities in Stretch, IndiGo's premium product, now available on 23 sectors, alongside ancillary services and cargo. "We have seen a growth in average passenger ancillary revenue rising from ₹525 to ₹590 in the second quarter."

IndiGo's expansion remains on track as aircraft arrive. It plans to begin international operations with the widebody A350-900 aircraft, offering flat-bed business class on long-haul flights. The deliveries are expected from mid-2028 onwards.

"High airfare and rising demand the festive season in the third quarter show positive signals for the airlines. I sense that IndiGo is not adding much capacity, keeping in mind the requirement of pilots for the winter capacity to avoid the fiasco that happened in December last year," said Gagan Dixit, VP Oil & Gas and Aviation at Elara Capital.

It's no different for IndiGo's main rival Air India. In India's aviation duopoly, both carriers are posting losses while passengers face higher fares as elevated jet fuel costs, geopolitical disruptions and a stronger dollar weigh on operations.

Air India Group posted a net loss exceeding ₹6,000 crore for the April–June quarter of FY27, double the loss in the same period last year. It ended FY26 with a loss of ₹22,000 crore. Under new CEO Tewolde Gebremariam, Air India's board has given in-principle approval to integrate select functions of Air India and Air India Express to cut costs, eliminate duplication and improve resource utilisation.

Air India has set up a dedicated team to identify savings across operations and tightened spending approvals as it grapples with airspace disruptions, the West Asia conflict and high jet fuel costs.

Gebremariam, speaking at an event, said that he is more impatient to see a profitable Air India than the airline's shareholders and is laser-focused on reducing costs and driving efficiencies.

Gebremariam—credited with turning around Ethiopian Airlines as its group CEO—said the airline is looking to rebalance its network and hubs to make international operations more efficient and competitive.

"We are rebalancing our network. Most of our network, unfor-

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• Over the past year, IndiGo's stock fell 18.3%, compared with an 11.4% decline in the Nifty 50

